

value anomaly is a fraud? As an investor, who has earned his or her hard-earned wealth, you maintain the right to allocate as you see fit. Go for it. We merely present the three options as a reasonable solution to a complex problem (we allow the equity portion to be either 40%, 60%, or 80%):

We explain the process outlined in [Figure 9.3](#):

Step 1 in the DIY process is to replace generic passive allocations to domestic and international equity with high-conviction tax-efficient value and momentum alternatives.

Step 2 in the process is to calculate moving average (MA) and time-series momentum (TMOM) risk-management calculations on each “line” of the system (e.g., REITs, Domestic Value, etc.). If both the TMOM and MA rules say to be in an asset class, we are 100 percent long this asset. If both the TMOM and MA rules say to be out of an asset class, we move to Treasury Bills for this asset class. If the rules say different things for an asset class (TMOM says to buy while MA says to sell, or vice versa), we are 50 percent long this asset, and 50 percent in Treasury Bills.

Step 3 in the process involves the implementation of tax-management techniques. One option is to embed the system in an exchange-traded fund (ETF), where tax liability can be minimized; alas, most DIY investors don't have the capability to launch an ETF. However, for the DIY investor, they can harvest short-term losers; tax-manage hedging events by shorting exposures that are highly correlated; and by annually rebalancing, such that one maximizes long-term capital gains and minimizes short-term capital gains. If an investor is running this system across qualified and nonqualified accounts, concentrate taxable dollars in tax-efficient equity exposures; concentrate nontaxable dollars in tax-inefficient fixed income and real asset exposures. For the analysis that follows, we conduct an annual rebalance. We do not tabulate annual results; however, we note that they are quantitatively similar.